



## Chapter 21

# Ten SIE Exam Traps to Avoid

### IN THIS CHAPTER

» **Identifying the most common mistakes that SIE exam-takers make**

» **Uncovering the secrets for avoiding SIE exam traps**

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After all the time, effort, and sacrifice you put into studying, elevating the importance of the SIE exam to an unrealistically high level is easy. Step back for a moment. Keep it in perspective. This situation is not life or death. If you don't pass the test the first time, the worst thing that happens is that you have to retake it.

On the other hand, getting tripped up by some trivial exam traps after you've come this far would be a shame. This chapter lists some common mistakes and gives you some last-minute advice to help you over the last hurdles that stand between you and your first million dollars as a stockbroker.

## Easing Up on the Studying

Perhaps you stop studying because you're getting good scores on practice exams and your confidence is high. If you're scoring 80s on exams that you're seeing for the first time, shoot for 85s. If you're getting 85s, shoot for 90s. The point is that you should continue to take exams until

the day before your scheduled exam day. I firmly believe that every day away from studying ultimately costs you points on your exam that you can't afford to lose.

By the same token, make sure you don't wait too long before taking the exam. If you have to wait several weeks before you can take the exam, you lose your sense of urgency, and it's almost impossible to keep up the intense level of preparation needed for many months at a time. If you're taking a prep course before you schedule your SIE, follow your instructor's advice as to when you should take the exam. If you're directing your own course of study, after you're passing practice exams consistently with 80s or better, take the test as soon as possible. The longer you wait to take the exam, the more likely you are to forget the key points and complex formulas. If your test date is too far in the future, you also risk falling into the I'll-study-later trap, where you think you can double your efforts later to make up for any wasted time. Overall, losing your sense of urgency leads to complacency and a lack of motivation, which probably aren't characteristics broker-dealers are looking for in their employees.

## Assuming the Question's Intent

You glance at the question quickly and incorrectly anticipate what the exam question is really asking you. You pick the wrong answer because you were in such a rush, you didn't see the word *except* at the end of the question. What a shame.

You don't want to fail the exam when you really know the material. Read each question carefully and look for tricky words like *except*, *not*, and *unless*. Then read all the answer choices before making your selection. (For more info on test-taking strategies that apply to certain question types, see [Chapter 3](#).)

## Reading into the Question

You're thinking *but what if* before you even look at the answer choices. When reviewing questions with students, I constantly get questions like "Yeah, but what if he's an insider?" or "What if he's of retirement age?" The bottom line is that you shouldn't add anything to the question that isn't there. Don't be afraid to read the question at face value and select the right answer, even if it occasionally seems too easy. Eliminate answer choices that are too much of a stretch, and remember that when two answer choices are opposites, one of them is most likely correct.

## Becoming Distracted When Others Finish

You haven't even started looking over the questions you marked for review when the woman next to you leaps from her seat, picks up her results (with a little victory dance), and makes a break for the door.

Don't let people who are taking the exam with you psych you out. If others finish ahead of you, perhaps they're members of Mensa or maybe this is the fifth time they've taken the exam — practice makes perfect. They may even be taking a totally different exam. Besides the SIE, the testing centers also offer other securities exams with fewer questions. Keep focused and centered on taking your own exam. The only time you need to be concerned with is your own — whether you're on track.

## Not Dressing for Comfort

You're trying to calculate the taxable equivalent yield on Mr. Dimwitty's GO bond, but the pencil keeps slipping out of your sweaty hand. You swear the test center has the heat cranked up to 80 degrees. Hmm. Maybe wearing your warmest wool sweater wasn't the best idea.

Dress comfortably. Don't wear a tie that's so tight it cuts off the circulation to your brain. You're under enough stress just taking the exam. Dress in layers. A T-shirt, a sweatshirt, and a jacket are great insulation against the cold. Another advantage is that you can shed layers of clothing (without ending up sitting in your underwear) if the exam room is too warm.

## Forgetting to Breathe

You walk into the test center brimming with confidence. All of a sudden, the exam begins and some of the words look like they're in a foreign language. Your heart starts pounding, and you feel like you're going to pass out.

If stress becomes overwhelming, your breathing can become shallow and ineffective, which only adds to your stress level. Focus yourself before the exam by closing your eyes and taking a few deep breaths. This same process of closing your eyes and breathing deeply is a great way to calm yourself if you become stressed or anxious at any time during the exam.

## Trying to Work Out Equations in Your Head Instead of Writing Them Down

While taking the exam, your memory starts to cloud and, somehow, the fact that two plus two equals five begins to make sense to you and the only formula you can remember is that there are 12 inches in a foot.

Certainly there aren't a real lot of equations you'll need for the SIE exam (not as much as for the Series 7 exam). However, don't throw away easy questions — memorize your equations while you're studying for your SIE exam so you know them cold before you arrive at the test site. If your nerves are getting the best of you and clouding your

memory, jotting down the equations that you want to remember as soon as you receive permission to start the exam may be helpful (this process is known as a *brain dump*). When working out the math problems, you have scrap paper to work with (and a basic calculator). Use them. For example, some formulas, such as determining the value of a right (cum rights), require you to find sums and differences before you can divide. Even simple calculations, such as finding averages, can involve quite a few numbers. In problems with multiple parts, it's easy for you to accidentally skip steps, plug in the wrong numbers from the question, or forget values that you calculated along the way. Writing things out helps you keep things in place without cluttering your short-term memory.

## Spending Too Much Time on One Question

Although the questions are weighted (a little more points for more difficult questions and less for easy questions), you don't want to get bogged down on one question. If you spend too much time on one question, you may lose points for many questions you didn't have time to even look at because you wasted so much time on the one that gave you trouble. If you find yourself taking too long to answer a question, take your best guess, mark it for review, and return to it later.

## Changing Your Answers for the Wrong Reasons

You change an answer just because you already selected that same letter for the preceding three or four questions in a row. Just a touch of paranoia, right?

You've probably been told from the time you first started primary school not to change your answers. Trust your instincts and go with your original reaction. You have only two good reasons to change your answer:

- You find that you initially forgot or didn't see the words *not* or *except* and you initially chose the wrong answer because you didn't see the tricky word.
- You find that the answer choice you originally selected is not the best answer after all.

## Calculating Your Final Score Prematurely

You waste valuable time concentrating on the number of questions you think you got wrong instead of focusing on the SIE exam questions you still have to answer.

Just read each question carefully, scrutinize the answer choices, and select the best answer. You'll find out whether you passed right after you complete the exam; it's not like you need to figure out your possible grade in advance to avoid sleepless nights until you receive your score. If you have additional time, use it to check your answers to the questions you marked for review.